Risk Analysis: Plan B Worst Case — Zero Leads, Zero Bookings

Created: 2026-04-27 **Status:** Risk register / decision input (pre-implementation) **Audience:** Executives, commercial team, product **Related:**

- `../ai-sales-agent-integration-strategy.md`
- `./review-fixflow-ads-system-spec.md`
- `./ads-system-narrative-walkthrough.md`

TL;DR

The current spec describes the happy path for Plan B (Sarah pays $120/day, gets $510/day in revenue, ROI 5×). It does not describe what happens when ROI is 0×. That gap is the largest unaddressed business risk in the entire ads system, and it must be resolved before any code ships.

Without safeguards:

- A failing Plan B campaign costs the shop **$3,600/month in pure loss**
- FixFlow keeps **$600/month margin** from a customer who got nothing in return
- Outcome: customer churn, reputation damage, possible refund disputes

The fix is industry-standard contract structure (auto-pause + test budget + creative iteration + refund trigger). Pick at least 4 of the 7 safeguards below before shipping.

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1. The scenario, in concrete numbers

Sarah signs up to Plan B. 30-day month, $120/day to FixFlow.

Item	Amount
Sarah pays FixFlow	$120/day × 30 = **$3,600**
FixFlow pays Facebook	$100/day × 30 = $3,000
FixFlow keeps margin	$20/day × 30 = **$600**
Leads generated	0
Bookings	0
Revenue from ads	$0
Sarah's ROI	**−100%**

Sarah just paid FixFlow $3,600 to lose money. FixFlow earned $600 doing nothing useful for her. **This is the exact nightmare scenario for the business model.**

2. What likely happens next (without safeguards)

Day	Event

1-7	Sarah notices low/zero bookings from ads. Marcus reassures her: "give it more time."
8-14	Still zero. Sarah is now angry. Demands to talk to someone senior.
15-21	Marcus tries new creative. Still nothing. Sarah threatens cancellation.
22-30	Sarah cancels Plan B. **Also cancels her $500/month software subscription out of frustration.** FixFlow lost a paying customer.
31+	Sarah tells every shop owner she knows. Posts a Facebook review: "*FixFlow took $3,600 and I got nothing. Avoid.*" Industry word-of-mouth in Manila is small. Reputation cascade begins.
Worst case	Chargeback dispute through Sarah's bank, possibly small-claims court, definitely a PR problem.

3. Why the spec is silent

The spec describes the happy path beautifully — Sarah spends $100/day, makes $510/day, ROI is 5×. But it does not address:

- What "underperforming" means quantitatively (CPL > $X? CPB > $Y? ROI < 1×?)
- Who decides to pause a failing campaign (admin? automated trigger? shop?)
- What happens to budget already spent before the pause
- Whether shops get refunds, credits, or nothing
- How long a campaign is given to "warm up" before being judged a failure
- Whether FixFlow guarantees anything

This is a **major gap**. Every marketing agency in the world has had to figure this out, and the answers shape the contract terms shops sign.

4. Whose fault is the failure?

Realistically, it's **partial fault**, not pure FixFlow or pure shop. Below is a typical breakdown:

Cause of zero leads	Whose fault?
FixFlow's ad copy is weak / doesn't resonate	FixFlow
FixFlow's targeting was wrong (wrong city, age, interests)	FixFlow
FixFlow's service price was set too high in the ad	Shared (shop set the price; FixFlow chose to advertise it)
Sarah's neighborhood has 5 competitors with cheaper prices	Sarah's market reality
Sarah's shop has bad Google reviews (people don't trust the brand)	Sarah
Seasonal slump (e.g., summer in a school district)	Nobody, just timing
FixFlow's AI was rude / off-brand	FixFlow
Shop has a typoed phone number that scared people off	Sarah

Shop never responded to leads the AI escalated	Sarah

This matters for contract design. If we say "we guarantee X leads or your money back," we have to account for all the ways the shop's own decisions could undermine that guarantee. Otherwise we're writing checks our system can't cash.

5. Industry-standard safeguards (the 7 options)

How marketing agencies handle this. FixFlow needs at least 4 of these to launch Plan B safely.

5.1 Auto-pause underperforming campaigns

After N days with CPL > $X or 0 leads → automatically pause and alert admin. **Prevents bleeding.**

Suggested triggers:

- $400 spent with 0 leads → soft-pause, email shop, await reply
- $800 spent with 0 bookings → hard-pause, admin must manually re-enable

5.2 Performance floor guarantees with conditions

> "*If you don't get at least 5 leads in the first 30 days, we'll refund 50% of the management fee.*"

Conditions:

- Shop must respond to leads within 24h
- Shop must keep their service prices, photos, and Google reviews stable during the trial
- Shop must not edit ad creative without FixFlow's approval

5.3 Free creative iteration

If a campaign isn't performing, FixFlow's team is **obligated** to swap creative within 7 days. No extra charge. Builds trust by removing the "you didn't try hard enough" complaint.

5.4 Spend caps tied to milestones

Don't let a shop spend $3,600 before any feedback loop. Structure: $400 first 4 days → review performance → continue or pause. **Limits damage at the budgetary level.**

5.5 "Test budget" entry tier

First month: $50/day instead of $120/day. Smaller stakes for proving the system works. Once shop sees ROI, upgrade. **Reduces buyer's-remorse risk.** Standard agency practice.

5.6 Diagnostic transparency

When a campaign fails, FixFlow shares the diagnostic openly:

> "*Your ad got 12,000 impressions, 50 clicks, 0 messages. The problem is the offer or landing page, not the audience. Here's what we recommend changing.*"

Honesty builds long-term trust even when results suck. Turns a fight into a problem to solve together.

5.7 Money-back trigger conditions

> "*If we don't deliver 1× ROI in the first 60 days, we refund the management margin (the $20/day part).*"

FixFlow eats their own cost but **does not** refund Facebook spend. Aligns incentives without exposing FixFlow to unbounded liability.

6. Recommendations for FixFlow specifically

Given the brand promise is *"FixFlow brings you paying customers,"* the safeguards must be visible and meaningful. My ranking:

Priority	Safeguard	Why
Must-have	Auto-pause after N days with $0 revenue (e.g., $400 spent → 0 bookings → pause + alert)	Prevents a $3,600 bleed; preserves the relationship
Must-have	"Test budget" first month at lower daily rate	Lowers entry risk; shop can prove the system before going big
Must-have	Free creative iteration within 7 days of underperformance	Removes the "bad creative" excuse + the friction of asking
Strongly recommended	Money-back trigger on the *margin* (not ad spend) for sub-1× ROI	Aligns FixFlow's incentive with the shop's; creates trust
Recommended	Transparent diagnostic dashboard	Shows the shop why it's failing; turns blame into collaboration
Recommended	Pre-flight quality check before launch (shop's reviews, photos, Google profile)	If the shop has 2-star reviews, no amount of ads will save them; flag it before spending money
Nice-to-have	Performance floor with conditions	Marketing best practice; fine to add in v2

7. Proposed contract terms for Plan B

The current spec describes Plan B as *"$120/day, FixFlow keeps $20 margin."* That's a price tag, not a contract. A real Plan B agreement should include:

> ### *Plan B — Standard Terms (proposed)*
>
> 1. ***Test month at $50/day.*** *Auto-upgrade to full $120/day after 30 days of confirmed positive ROI.*
> 2. ***Auto-pause triggers:***
>   - *No leads after $400 spent → soft-pause, email shop*
>   - *No bookings after $800 spent → hard-pause, admin re-enables*
> 3. ***Creative iteration commitment.*** *FixFlow swaps creative within 7 business days when CPL > 2× target. No extra charge.*
> 4. ***ROI refund trigger.*** *If 60-day cumulative ROI < 1×, FixFlow refunds the management margin ($20/day × days run). Ad spend (the $100/day to Facebook) is non-refundable.*
> 5. ***Shop responsiveness requirement.*** *Shop must respond to AI-escalated leads within 24h. Lead loss due to shop unresponsiveness disqualifies refund eligibility.*
> 6. ***Brand reputation requirement.*** *Shop's Google/Facebook reviews must remain ≥3.5 stars. Brand reputation issues outside FixFlow's control void the performance commitment.*

> 7. ***Mutual cancellation right.*** *Either party can cancel Plan B with 7 days' notice without penalty. Existing campaigns wind down naturally.*

That's roughly the contract a sane marketing agency offers. **Without something like this, Plan B is a trap waiting to spring.**

8. Comparison across the three plans (worst case)

Plan	Worst case for shop	Worst case for FixFlow
A (shop self-pays)	Shop wastes $3,000 on Facebook directly + $299 dashboard fee. **Total loss: $3,299.**	FixFlow loses $299 in revenue + reputation damage.
B (FixFlow margin)	Shop pays FixFlow $3,600. Gets 0. **Total loss: $3,600.**	FixFlow keeps $600 margin from a customer who churns + warns others. **Worst optics for FixFlow.**
C (performance fee)	Shop pays $0 if 0 bookings. **No loss.**	FixFlow ate $3,000 in ad spend with 0 revenue back. **Direct dollar loss to FixFlow.**

Plan B is uniquely bad — it's the worst case for the shop's pocketbook AND for FixFlow's reputation simultaneously. Plan A limits FixFlow's downside but doesn't include AI conversion. Plan C protects shops from the cost but transfers all risk to FixFlow.

This asymmetry is why **Plan B is the plan that needs the most safeguards**, even though it's marketed as "simple flat-fee for shops."

9. Open questions for the executive team

Cross-references to the existing review doc's Q1-Q11. These are new:

- **Q12 — Plan B underperformance handling.** What's the auto-pause threshold? What refund mechanism? What's our public commitment? Pick 4+ safeguards from §5.
- **Q13 — Plan C exposure ceiling.** Plan C transfers ad-spend risk entirely to FixFlow. If 20% of Plan C campaigns fail, what's the acceptable monthly loss? Cap per campaign? Cap per shop? Or accept unbounded exposure and price the per-booking fee accordingly?
- **Q14 — Performance commitment legal language.** "We bring you customers" and "5× ROI guaranteed" can be construed as guarantees under some jurisdictions. Need legal review of the marketing copy and contract terms before they're written.
- **Q15 — Test-budget tier as the default.** Is the $50/day test budget Plan B's *default* entry point, or only available on request? Defaulting to it limits exposure but reduces revenue per shop.

10. Risk register entry

Adding to the spec review doc's §8 risk register:

Risk	Likelihood	Impact	Mitigation

Plan B campaign fails to generate any ROI for a shop, leading to refund dispute and reputation damage	High (statistically inevitable across 1,000 shops)	Very High — jeopardizes business model + brand	Implement §5 safeguards (minimum 4 of 7) before Plan B launches; legal review of contract terms; pre-flight shop quality check
Plan C scaled losses if many performance-fee campaigns underperform	Medium	High — direct dollar loss to FixFlow	Cap ad spend per Plan C campaign; require shop quality bar; price per-booking fee high enough to cover statistical losers

11. Bottom line

This is not a "build it and figure it out" item. Plan B's failure mode is statistically inevitable at any meaningful scale — 1 in 5 paid ad campaigns underperform across the industry. If FixFlow rolls Plan B out without a defined safety net:

- Some shops will lose $3,600+ each
- Some of them will be vocal about it
- Word of mouth in tight-knit industries (repair shops, gyms, salons) travels fast
- FixFlow's whole acquisition pitch ("*we bring you paying customers*") collapses if it produces visible failures without recourse

Resolving §5's safeguards before launch is a few days of contract design and engineering — but it shapes whether the entire revenue stream survives its first 100 customers.

Strong recommendation: do not ship Plan B without minimum safeguards 5.1, 5.3, 5.5, and 5.7. All other commercial details can be tuned post-launch; this one cannot.